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Political Uncertainty and Cross-Border Acquisitions*

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Abstract

Using national elections as sources of exogenous variation in uncertainty, we show that political uncertainty affects the volume and outcome of cross-border acquisitions. When a country is about to hold a national election, this deters foreign firms' inbound acquisitions, especially when the host country poses greater expropriation risk. An upcoming home country election encourages firms to conduct outbound cross-border acquisitions, especially to target countries with free-trade agreements, military allies, or countries with better governance. At transaction level, we show that announcement returns to cross-border deals incorporate political uncertainty considerations. Overall, these results shed light on the effects of political uncertainty through the cross-border acquisition channel.

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1. Introduction

Cross-border acquisitions have become increasingly popular as more firms expand their businesses across national borders. The aggregate dollar volume of cross-border acquisitions increased from 21% of total merger activity worldwide in 1996 to 37% in 2014

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(Thomson Reuters, 2015). Yet, politicians frequently make decisions that alter the environment in which firms operate, which creates a significant amount of uncertainty for acquisition decisions. Considering the rising importance of cross-border acquisitions and executives' concerns over heightened political uncertainty, we investigate how political uncertainty affects such decisions.

We analyze the effects of political uncertainty on cross-border acquisitions, one of the most important types of investment decision a firm can make. Recent literature attempts to link political uncertainty with corporate investment (Julio and Yook, 2012; Gulen and Ion, 2015; Jens, 2017). Unlike domestic investment, cross-border acquisitions are exposed to political uncertainty in both the acquirer and target countries. We first investigate whether the volume of inbound foreign acquisitions is associated with the target country's level of political uncertainty. Target country political uncertainty can affect inbound foreign acquisitions through changes in regulatory regime, fiscal, and taxation policies, and in some extreme cases, expropriation or nationalization of foreign-owned assets. Fear of expropriation is among the most cited causes for companies to scale back, cancel, or delay investment in foreign countries, according to a recent survey by the World Bank.[1] Recent national elections in many countries, including the USA, highlight the popularity of protectionism, nationalism, and in some cases, xenophobia, which can deter potential foreign buyers. Relatedly, Dinc and Erel (2013) highlight the rise of nationalism and protectionism in European nations in deterring fellow European Union member country acquirers. We put forward a deterrence hypothesis for inbound foreign acquisitions before a target country's national election. We also analyze whether the target country's expropriation risk can moderate the volume of inbound acquisitions amid national elections.

Cross-border acquisitions are also exposed to the acquirer country's political risks. Firms become cautious and scale back spending when facing uncertainty (Bernanke, 1983; Pástor and Veronesi, 2012, 2013). Cross-border acquisitions tend to be large and risky investments. As such, potential acquirers will delay cross-border acquisitions until home country political uncertainty resolves itself. We refer to this notion as a delaying hypothesis due to acquirer country political uncertainty. Although delaying acquisitions can exempt potential investments from political uncertainty, a firm cannot timely exploit market opportunities because of such lags (Bar-Ilan and Strange, 1996). Moreover, conventional wisdom posits that it is better not to "put all of your eggs in one basket." Therefore, geographic diversification through cross-border acquisition can reduce uncertainty (Coles, Daniel, and Naveen, 2006). Accordingly, potential acquirers can explore cross-border acquisitions to hedge risks stemming from political uncertainty in the home country. We put forward a hedging hypothesis for acquirer country political uncertainty.

It is rather challenging to isolate the effect of political uncertainty on acquisitions, because measures of political uncertainty are possibly endogenous to other factors that affect corporate acquisition decisions (Rodrik, 1991). We follow recent studies (Julio and Yook, 2012, 2016) and use timing of national elections to proxy for political uncertainty in a cross-country setting. Election timing is a broad measure of political uncertainty, capturing not only possible changes in specific government policy, but also changes in government leadership (Julio and Yook, 2016). National elections are accompanied by significantly increased political uncertainty (Kelly, Pástor, and Veronesi, 2016), which is largely outside of firms' control. Another

1 See MIGA World Investment and Political Risk Report, p. 94, available at http://www.miga.org/documents/WIPR10ebook.pdf.

popular measure of policy uncertainty is from Baker, Bloom, and Davis (2016), who develop indices of economic policy uncertainty based on news stories. We choose not to employ this index because it could be a byproduct of past and expected economic activity. Empirically, most national elections take place at pre-determined points in time and different countries have different election times, generating great variation in political uncertainty across countries and over time. Thus, elections around the world provide a quasi-natural experiment framework to study the effects of policy uncertainty on cross-border acquisitions.

Using national elections in fourty-seven countries between 2001 and 2013 as sources of exogenous variation in political uncertainty, we analyze how national elections in a target country as well as an acquirer country affect cross-border acquisitions. We find strong evidence that political uncertainty affects the volume, characteristics, and outcomes of cross-border acquisitions.

The volume of inbound cross-border deals declines significantly in the year prior to a target country national election. At the aggregate level, the number of cross-border acquisition deals is 6.8% lower in the year before an election relative to other years, which supports the deterrence hypothesis. In contrast, the volume of outbound cross-border acquisitions increases significantly in the year prior to an acquirer country national election. Relative to other years, the number of outbound cross-border acquisition deals is 7.5% higher in the year prior to a national election. This evidence supports our hedging hypothesis rather than the delaying hypothesis. These results continue to hold after controlling for GDP growth, GDP per capita, legal origin, institutional quality, trade openness, and other determinants of cross-border acquisitions documented in the literature. One alternative explanation is that the change in cross-border acquisition volume is driven by the underlying economic conditions such as GDP growth and GDP per capita. If this were true, we would expect the volume of domestic acquisitions to behave in a similar fashion as cross-border deals before national elections. On the contrary, our results indicate that the volume of domestic acquisitions before election years does not differ from other years. Furthermore, the proportion of domestic acquisitions out of all acquisitions drops significantly during the year preceding an acquirer country election.

We conjecture that fear of expropriation is an important consideration in deterring foreign acquirers from investing in a country with an upcoming election. We construct three variables to measure a country's expropriation risk. The first employs historical information regarding a country's expropriation incidents. The second is based on assessment of risk of "outright confiscation" and "forced nationalization" by the International Country Risk Guide (ICRG). The third measure is the strength of checks and balances, because judicial restraints serve to protect private property from executive branch seizure (La Porta *et al.*, 2004). With these three measures, we show that the volume of inbound foreign acquisitions drops significantly prior to national elections in countries with greater expropriation risk. These results suggest that fear of expropriation is an important channel through which a target country's election deters inbound foreign acquisitions.

The home country election's encouraging effect on outbound cross-border acquisitions implies that cross-border acquisitions can help hedge against some of the home country political risks. We conjecture that acquirers will favor target countries that have lower political uncertainty or countries that can offset some of the home country political uncertainty. We use three tests to investigate this argument. First, when we assemble data at the acquirer–target country-pair level and analyze the interactive effects of acquirer- and target-country pre-election variables, we find that the number of cross-border acquisitions drops by 2.7% in years when both countries have upcoming national elections. This result suggests that when firms explore cross-border acquisitions to hedge against home country political uncertainty, they avoid target countries with forthcoming elections to reduce uncertainty. Second, we gather information regarding bilateral free-trade agreements (FTAs) and military alliances between pairs of countries, reasoning that such close relations can offer firms better insurance against political risks stemming from changes in national leaders. We find that preceding home country elections, outbound acquirers favor target countries with FTAs or military alliances. Third, we find that outbound cross-border acquirers are more likely to choose destination countries with better governance quality, especially countries with better shareholder protection.

At transaction level, we show that stock market reactions to cross-border deals incorporate political uncertainty considerations. In particular, we find that announcement returns to acquiring firms are lower in the target country's pre-election years. In contrast, outbound cross-border acquisitions before acquirer country political elections yield greater announcement returns to the acquiring firms. If a cross-border acquisition occurs in a year when both acquirer and target countries are about to hold national elections, the deal will yield 1.5 percentage-point lower abnormal returns than in other years. The economic effect is considerable given that the median announcement returns for cross-border deals are less than 1%.

Our study contributes to two streams of literature. First, this paper relates to a burgeoning literature on the determinants of cross-border mergers (see, e.g., Rossi and Volpin, 2004; Bris and Cabolis, 2008; Erel, Liao, and Weisbach, 2012; Ahern, Daminelli, and Fracassi, 2015). We complement these studies by identifying factors in the political realm that affect firms' acquisition decisions. Second, this paper adds to the literature on the impact of political uncertainty on economic outcomes. Previous research studies the impact of political uncertainty on capital structure (Desai, Foley, and Hines, 2004; Desai, Foley, and Forbes, 2008), stock price volatility (Pástor and Veronesi, 2012, 2013), bond issuance (Gao and Qi, 2013), capital expenditures (Julio and Yook, 2012; Gulen and Ion, 2015; Jens, 2017), and R&D expenditures (Atanassov, Julio, and Leng, 2016). Our paper is closely related to the contemporaneous papers by Bonaime, Gulen, and Ion (2017) and Chen, Cihan, and Jens (2016), both of which find that domestic political and policy uncertainty reduces acquisitions by US firms. We differ from these two papers by focusing on cross-border acquisitions in a cross-country setting. A distinct feature of M&A is that the interaction of acquirer and target conditions makes a deal work. As such, we analyze how political uncertainty in two countries affects the likelihood and outcomes of an acquisition. Further, we are able to identify situations where political uncertainty may encourage outbound cross-border acquisitions.

The remainder of this paper proceeds as follows. Section 2 reviews related theories and presents our hypotheses. Section 3 describes the election data set and the sample of acquisition deals. In Section 4, we analyze cross-border acquisition activity surrounding national elections and present evidence on several potential channels of influence. In Section 5, we focus our attention on deal-level outcomes. Finally, Section 6 concludes.

2. Theory and Hypothesis

This section reviews several relevant theories on how uncertainty may affect investment decisions, and it presents our hypotheses to guide the empirical analysis.

2.1 Deterrence Hypothesis: Target Country Political Uncertainty and Foreign Firms' Inbound Acquisitions

Once a cross-border acquisition is made, a foreign investor cannot prevent the host country government from changing the environment in which the acquired project operates. Potential changes in leadership and ensuing changes in investor protection, regulatory regimes, and monetary, fiscal, and taxation policies can result in uncertain investment returns, thereby deterring potential foreign investors. Dinc and Erel (2013) show that in the highly integrated European Union, nationalism harms fellow member countries' interests and deters potential foreign acquirers. An extreme investment loss scenario is expropriation by the host government. In practice, expropriation can take different forms. A direct act of expropriation involves nationalization of foreign-owned corporations/assets, in which the government simply seizes the asset or equity. There are also indirect forms of expropriation that multinational corporations face, such as excessive taxation, capital controls, manipulation of exchange rates, solicitation of bribes, overregulation, and confiscatory taxation. We conjecture that political uncertainty before a national election will deter foreign firms from making inbound acquisitions, because foreign firms fear that new governments will expropriate foreign acquirers.

Our first hypothesis regarding target country political uncertainty is a deterrence hypothesis. That is, when a country is about to hold a national election, it will deter potential foreign acquirers' inbound acquisitions, especially if the risk of expropriation in the target country is greater.

2.2 Acquirer Country Political Uncertainty and Outbound Cross-Border Acquisitions

2.2.a. Delaying hypothesis for outbound cross-border acquirers

Cross-border acquisitions are arguably among the most important investment decisions a firm makes. Bernanke (1983) argues that if investment projects are costly to reverse, then the delay option has value. Uncertainty increases the value of the option to wait until more information regarding the profitability of the project is revealed, particularly when the source of uncertainty periodically renews itself. The likelihood of observing a low payoff arises with uncertainty, as does the benefit of waiting. The opportunity cost of waiting is foregone income from the project, which depends on the price during the delay. Thus, the delay is a consequence of the asymmetry between the effects of uncertainty on the costs and benefits of waiting.[2] Bernanke (1983) refers to this phenomenon as a "bad news principle." Rodrik (1991) and Pindyck and Solimano (1993) consider uncertainty regarding future political reforms as a large tax on investment.

We refer to this argument as the *delaying* hypothesis. That is, when a country is about to hold a national election, it will delay potential acquirers' outbound acquisitions.

2 Imagine a producer who starts out selling goods at price P0. If the introduction of political uncertainty then causes the price of the producer's output to fluctuate between lower price P1 and higher price P2, with an upward-sloping supply curve, the gain generated in the producer's "good" state with price P2 can exceed the loss in the producer's "bad" state with price P1. To the extent that producers can increase the quantity of goods produced as price increases, therefore, uncertainty can increase profit as well as investment.

2.2.b. Hedging hypothesis for outbound cross-border acquisitions

Although delaying acquisitions can to some extent exempt a firm from home country political uncertainty temporarily, this remains a passive strategy. Sometimes, firms choose to preempt and actively hedge against home country political uncertainty.

Conventional wisdom says that it is better for a firm not to put "all of your eggs in one basket" and thus diversifying acquisitions geographically is a potentially risk-reducing activity. International geographic diversification is pervasive. Denis, Denis, and Yost (2002) document that some 30% of publicly listed firms in the USA exhibit some degree of global diversification. Outbound cross-border acquisitions help a firm diversify its sources of income, which reduces the firm's total operational risk (Severn, 1974; Brewer, 1981; Fatemi, 1984; Berger, 2000). If a firm engages in both domestic and foreign operations, the risk arising from political uncertainty can be diversified so long as the sources of risk in the home country and the target country are not perfectly correlated. Global diversification can create flexibility within the firm to respond to changes in relative prices, differences in tax codes, and other institutional differences. Also, the benefits of global diversification can stem from investors and managers' wealth diversification preferences. There exists ample evidence of capital flight to avoid political uncertainty and instability of the home country through outward investment (see, e.g., Tallman, 1988; Le and Zak, 2006).

In practice, many firms employ cross-border acquisitions to mitigate risks from acquirer country regulations. Karolyi and Taboada (2015) present evidence of a form of "regulatory arbitrage" whereby acquisition flows involve acquiring banks from countries with stricter regulations than their targets. Moreover, these authors show that banks engage in such deals to escape from costly regulations and improve capital allocation, enhancing shareholder value. The relationship between policy uncertainty and M&A activity has been highlighted recently in the popular press due to Brexit. For instance, *The Guardian* reported that Hong Kong Shanghai Banking Corporation (HSBC) warned about moving its headquarters out of London 2 weeks before the Brexit referendum.[3]

Given such diversification benefits to corporate shareholders and executives, we expect many firms to pursue cross-border acquisitions when facing uncertainty. We refer to this argument as the *hedging* hypothesis. That is, when a country is about to hold a national election, this will encourage domestic acquirers' outbound acquisitions due to hedging considerations. When firms decide to pursue such acquisitions, they will choose target countries with lower political uncertainty and countries that can offset their domestic political uncertainty.

3. Data and Descriptive Statistics

3.1 Election Data

We gather election information data from the World Bank Database of Political Institutions (DPI). Our country sample covers fourty-seven out of the fourty-nine countries in La Porta *et al.* (1998), except for Hong Kong and Jordan. The sample includes 151 national elections held between 2001 and 2013 in the fourty-seven countries. National elections determined the leaders of these countries, directly or indirectly. We identify the chief executive of each country following the rule described in Julio and Yook (2012). As the

3 https://www.theguardian.com/business/2015/apr/24/hsbc-warns-it-could-leave-uk-over-eu-referendum-uncertainty.

supreme executive power is normally vested in the presidential office for a country with a presidential system, we consider presidential elections for countries with presidential systems in our analysis. In countries with parliamentary systems, we consider legislative elections, since the outcome of legislative elections has the foremost influence over appointment of the prime minister. For countries using a hybrid system, we select the election that determines the leader who exerts the greatest power over executive decisions by examining how executive power is divided between the two leaders. Our sample includes twenty-six countries with legislative elections, twenty countries with presidential elections, and one country (Israel) with prime ministerial elections. Table I presents the classification of political systems and the number of elections for each of the fourty-seven countries in our sample. National elections are usually held once every 4 years and most of our sample countries held three elections between 2001 and 2013.

3.2 Acquisition Data

We first obtain information on all acquisition deals announced between January 1, 2001, and December 31, 2013, from the Security Data Company (SDC) Mergers and Corporate Transactions database. We focus on acquisitions of majority interest in which the acquirer owns none of the target's share before the deal and more than 50% after the deal. LBOs, spin-offs, recapitalizations, self-tender offers, exchange offers, repurchases, and privatizations are excluded from the sample. We end up with a sample of 78,636 deals with a total deal value of $14.5 trillion. Of these deals, 17,234 are cross-border deals with a total deal value of $4.0 trillion and 93.3% of the deals were completed within 180 days of the announcement. We concentrate on completed deals in our main analysis but also consider withdrawn deals in a test.

Table I reports the number and value of all acquisition deals as well as cross-border acquisition deals by the country of the acquirer firm and the country of the target firm from 2001 to 2013. The USA and UK show the largest volume of domestic as well as cross-border acquisition deals: 28,614 acquisition deals are done by US firms, with 3,890 as outbound cross-border deals, while 9,980 acquisition deals are done by UK firms, with 2,694 as outbound cross-border deals. The USA and UK are the two largest recipients of foreign inbound acquisitions. Still, other countries like Canada and Australia are very active in the cross-border acquisition market and account for a significant portion of the sample. Table II presents the number of completed deals for each pair of major acquirer country (columns) and target country (rows).

We collect a number of data items from the SDC, including the acquirer and target names, country of domicile, two-digit Standard Industrial Classification (SIC) code, deal value, and several other characteristics. We obtain stock return information from DataStream to calculate acquirer cumulative abnormal returns (CARs) surrounding deal announcements.

3.3 Country-Level Data

We obtain GDP per capita and annual GDP growth rate from the World Development Indicator (WDI), and a common law origin variable from La Porta *et al.* (1998). Following Bekaert, Harvey, and Lundblad (2005), we construct an index of a country's institutional quality based on the sum of subcomponents of corruption, law and order, and bureaucratic quality from the ICRG. We also use the Investment Profile index from the ICRG to measure

Table I. Descriptive statistics of number of acquisition deals and elections for each country

This table reports election type, number of elections, number and value of all deals, and number and value of cross-border deals by acquirer country and target country, respectively, from 2001 to 2013. The chief executive of each country is identified following the rule described in Julio and Yook (2012). For countries with presidential systems, presidential elections are considered. For countries with parliamentary systems, legislative elections are considered. For countries using a hybrid system, the elections that determine the leader who exerts the greatest power over executive decisions are considered.

Country	Election type	Number of elections	All deals by acquirer nation		Cross-border deals by acquirer nation		All deals by target nation		Cross-border deals by target nation	
			Number	Value ($millions)	Number	Value ($millions)	Number	Value ($millions)	Number	Value ($millions)
Argentina (AR)	Presidential	3	177	12,836	18	8,186	333	16,101	174	11,451
Australia (AU)	Legislative	5	5549	497,850	996	155,312	5422	504,191	869	161,652
Austria (AS)	Legislative	4	155	20,905	91	11,302	153	28,633	89	19,030
Belgium (BL)	Legislative	3	340	179,609	192	118,505	378	135,211	230	74,107
Brazil (BR)	Presidential	3	914	194,042	101	36,046	1181	232,800	368	74,804
Canada (CA)	Legislative	4	7959	820,951	2,273	287,811	6893	764,295	1,207	231,154
Chile (CE)	Presidential	3	246	29,810	59	11,777	333	42,255	146	24,223
Colombia (CO)	Presidential	3	123	27,324	31	9,574	191	30,574	99	12,824
Denmark (DN)	Legislative	4	402	78,351	187	39,553	480	71,889	265	33,090
Ecuador (EC)	Presidential	4	11	281	1	2	37	2,113	27	1,835
Egypt (EG)	Presidential	2	31	2,684	9	1,460	50	30,686	28	29,462
Finland (FN)	Legislative	3	441	56,785	202	38,489	458	53,711	219	35,415
France (FR)	Presidential	3	1661	498,238	642	309,953	1830	323,696	811	135,412

(continued)

Table I. Continued

Country	Election type	Number of elections	All deals by acquirer nation		Cross-border deals by acquirer nation		All deals by target nation		Cross-border deals by target nation	
			Number	Value ($millions)	Number	Value ($millions)	Number	Value ($millions)	Number	Value ($millions)
Germany (DE)	Legislative	4	1247	448,103	629	268,898	1674	441,144	1,056	261,938
Greece (GR)	Legislative	4	157	10,794	31	2,472	152	16,840	26	8,518
India (IN)	Legislative	2	1047	86,038	383	43,614	899	74,224	235	31,800
Indonesia (ID)	Presidential	2	307	17,309	25	2,431	507	24,268	225	9,390
Ireland-Rep (IR)	Legislative	3	539	62,066	340	44,205	426	65,425	227	47,565
Israel (IS)	Prime Ministerial	4	372	58,841	215	49,137	305	31,177	148	21,473
Italy (IT)	Legislative	4	1335	323,596	297	79,318	1441	366,946	403	122,668
Japan (JP)	Legislative	5	5189	567,222	463	161,183	4875	432,899	149	26,861
Kenya (KE)	Presidential	3	6	46	2	11	14	271	10	236
Malaysia (MA)	Legislative	3	1760	75,272	229	15,505	1694	67,592	163	7,825
Mexico (MX)	Presidential	2	253	119,833	80	38,723	478	117,922	305	36,812
Netherlands (NT)	Legislative	5	740	450,899	500	262,999	702	371,910	462	184,010
New Zealand (NZ)	Legislative	4	492	42,406	129	21,195	622	39,790	259	18,579
Nigeria (NG)	Presidential	3	16	881	5	343	27	15,187	16	14,649
Norway (NO)	Legislative	4	720	130,243	284	52,381	709	123,194	273	45,332
Pakistan (PK)	Legislative	3	7	192	2	16	11	462	6	286
Peru (PE)	Presidential	3	101	7,281	25	1,216	189	17,460	113	11,395

(continued)

Table I. Continued

Country	Election type	Number of elections	All deals by acquirer nation		Cross-border deals by acquirer nation		All deals by target nation		Cross-border deals by target nation	
			Number	Value ($millions)	Number	Value ($millions)	Number	Value ($millions)	Number	Value ($millions)
Philippines (PH)	Presidential	2	179	10,998	24	3,058	205	13,473	50	5,533
Portugal (PO)	Legislative	4	205	25,292	60	7,728	243	29,434	98	11,871
Singapore (SG)	Legislative	3	1146	113,038	443	54,725	962	76,794	259	18,480
South Africa (SA)	Legislative	2	481	48,066	99	18,253	548	45,463	166	15,650
South Korea (SK)	Presidential	3	1575	145,277	147	26,404	1577	137,244	149	18,370
Spain (SP)	Legislative	3	1279	325,288	379	161,518	1380	258,818	480	95,048
Sri Lanka (SL)	Presidential	2	33	220	1	1	41	509	9	289
Sweden (SW)	Legislative	3	1476	148,185	567	82,323	1397	140,461	488	74,600
Switzerland (SZ)	Legislative	3	499	208,741	364	179,020	388	130,931	253	101,209
Taiwan (TW)	Presidential	3	292	54,765	58	4,934	333	60,060	99	10,229
Thailand (TH)	Legislative	4	333	24,512	43	7,170	377	24,627	87	7,285
Turkey (TK)	Legislative	3	203	11,752	17	2,934	295	31,849	109	23,031
United Kingdom (UK)	Legislative	3	9980	1,217,953	2,694	468,159	9366	1,445,659	2,080	695,866
United States (US)	Presidential	3	28614	7,317,942	3,890	890,005	28965	7,627,095	4,241	1,199,158
Uruguay (UY)	Presidential	2	12	82	3	20	33	5,249	24	5,187
Venezuela (VE)	Presidential	3	25	3,278	2	22	45	5,480	22	2,224
Zimbabwe (ZW)	Presidential	3	7	1,568	2	5	17	1,633	12	71
All Countries		151	78636	14,500,000	17,234	3,977,897	78636	14,500,000	17,234	3,977,897

Table II. Number of acquisition deals across country-pairs

This table reports the distribution of total number of acquisition deals between acquirer country (columns) and target country (rows) between 2001 and 2013. Refer to Table 1 for full country names. Due to space constraints, we do not report 4 countries with amount of cross-border deals less than USD 300 million.

	AR	AU	AS	BL	BR	CA	CE	CO	DN	EC	EG	FN	FR	DE	GR	IN	ID	IR	IS	IT	JP	MA	MX	NT	NZ	NG	NO	PE	PH	PO	SG	SA	SK	SP	SW	SZ	TW	TH	TK	UK	US	UY	VE
AR	159				3	1	1	3															1	1										1							5	2	
AU	4	4553	1	9	14	71	19	3	3	1		5	8	29	2	12	20	3	3	8	7	10	3	8	166	1	5	4	9	2	28	33	8	19	12	2	4	2	2	155	300		
AS	2	1	64	3	1	2			1			3	2	31		1		3		8			1	4			1			1		1		3	4	2			1	6	9		
BL		2	1	148	2	1			1		1	2	55	18		3		2		11		1		23			1			4		2	1	7		6		1	5	23	18		1
BR	18	3	1	1	813	5	3	5		1			2	1						2	1		4	2			3	4		6				2		1			1	1	24	8	2
CA	37	110	1	9	52	5686	34	26	5	11	4	11	26	38	1	4	2	7	12	4	1	3	141	15	14	2	9	56	3	4	2	16	3	17	23	11	2		6	130	1406		10
CE	9			1	16	1	187	14	1														1	1				6						2							6	1	
CO	1				2	3	4	92		1								1					5	1				5		1											5	1	1
DN		4		2		6			215			8	7	14	1	3		1		6	1		4	10			18	1		1	5		1	7	35	3				21	27		1
EC										10																		1															
EG						1					22			1										1								1		2						2	1		
FN		2	3	2	2	3			14			239	8	27		3				8		1	1	10			21				1	1	1	1	43	3	1		1	15	28	2	
FR	3	13	2	24	25	17	4	3	5		5	4	1019	63	4	13	1	3	6	48	2		4	22			8			3	6	2	9	55	12	16	2	2	6	91	159		
DE		23	23	13	7	9	2		13		1	9	62	618	1	13	2	5	4	23	6	3	2	33	1		10			5	5		3	34	32	29	5		8	104	139		
GR	2			1		1					1		1	2	126					5				1		1						2		3					5	2	4		
IN	2	15	1	3	7	11	3	1	3		2	4	18	19		664	9	4	2	7	1	6	2	6	1	1	2			3	20	7	1	9	2	6		5		58	137		
ID		6															282			1		5					1				11										1		
IR		5	2	5	1	6		2	3			3	9	15		1		199	4	4	1		2	13			2				1	1		4	7	1				147	101		
IS	1	1		2	2	7			2			2	13	18	2	1			157	6	2			2	1						1	3		3	1	6		1		23	115		
IT	5	6	6	8	11	3	2		2		1		34	29	2	5		4		1038	2		2	15			3			5	2	3		34	5	10			8	43	47		
JP	2	25	2	8	12	11	2		4			3	10	16		14	18			8	4726	15	1	5	5		1		3	1	19	3	21	4	4	11	13	8	2	42	170		
MA		24			2	4							1	7		13	46			2	3	1531		6	2		1		1		65	1	2			3	2	23	1	12	7		

(continued)

Table II. Continued

	AR	AU	AS	BL	BR	CA	CE	CO	DN	EC	EG	FN	FR	DE	GR	IN	ID	IR	IS	IT	JP	MA	MX	NT	NZ	NG	NO	PE	PH	PO	SG	SA	SK	SP	SW	SZ	TW	TH	TK	UK	US	UY	VE
MX	3	2		1	13	3	3	8		1												1	173				2	4	1					3					1	1	32	1	
NT	1	9	4	28	6	14	1	1	11	1	1	10	42	46	2	6	4	4	2	20	5	4	8	240	3	2	7	2		4	5	1	6	26	27	7			18	75	83		1
NZ		79		1		4	1						1	2						1		1	1	3	363											1		1		11	22		
NG																										11	1				1										1		
NO		6		4	4	9			36			12	10	16		2		2		1	1			5	1		436	1		1	3		1	8	87	6			2	32	34		
PE	1					4	7	5		4										1			1					76						1						1			
PH		3			1	1	1									1						7	1						155		2						1	1			5		
PO	1	1			11		1						2	3	1	1		1		1			1				1			145				26					3	2	4		
SG		49		5	4	6			2		1	2	5	8		18	85				25	74	1	5	9	4	3		9		703	4	12	2	4	5	11	27	2	28	32		
SA	2	19	1	1	4	5			2			1	2	1			1					1		4	2	1		1			1	382	2				1		1	30	11		
SK		9		1		9			1	1			4	6		5	10			2	13	2		1	1		1	1	1		4	2	1428	1		1	5	2	1	8	54		
SP	21	4		5	33	3	14	5	1	1	1	6	39	20		4				34		2	16	7			4	6	1	30		3	3	900	4	4			3	40	60	3	2
SW	5	12	4	7	2	15	2		66		1	67	27	38		2	1	6	1	7		1	3	18	1	1	70			1	3	6	5	11	909	9	4	1	3	76	88	2	
SZ	3	13	6	6	8	15		4	4	1	1	5	26	42	1	4	2	3	2	16	1	2	1	12	1		6	2		2	3	3	3	14	12	135			1	29	109	1	
TW						2			1			1	1	3		1	1		1	1	3		1	2							5		2		1	1	234	1		4	26		
TH		4				1							3				5			2		4		1	3		1		2		8					1	1	290		3	4		
TK		1	1			1							1	2			1		1					3								1							186	1	4		
UK	8	179	13	38	28	112	10	4	38		3	31	176	240	5	34	12	123	13	85	11	6	13	104	11	3	47	3	3	18	21	62	13	96	89	36	11	6	17	7286	959		1
US	42	239	17	42	95	839	31	14	46	4	4	30	216	301	4	70	5	55	97	81	63	14	84	117	37		44	16	17	6	37	8	52	85	84	72	36	6	11	863	24724	3	3
UY	1					1	1																																			9	
VE								1																1																			23

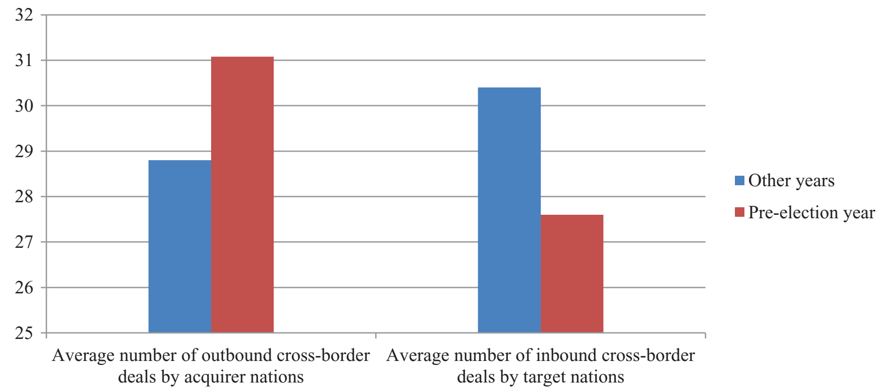

Figure 1. This figure presents the average number of cross-border acquisitions in the year prior to national elections and other years by acquirer country and target country, respectively. The sample includes cross-border acquisitions from fourty-seven countries between 2001 and 2013. Only country-year observations with at least one cross-border acquisition deal are included in the sample.

the business environment, a variable used in Erel, Liao, and Weisbach (2012). To control for cultural similarity between the acquirer nation and the target nation, we obtain information about a country's language and religion from Stulz and Williamson (2003).

4. How Does Political Uncertainty Affect Cross-Border Acquisitions?

Because we are interested in the impact of political uncertainty before national elections, we focus on the year prior to a nation's national election. We first analyze whether the inbound and outbound volume of cross-border acquisitions differs in the year before the target country's and the acquirer country's national elections compared with other periods.

4.1 Main Results

Figure 1 presents preliminary evidence that inbound and outbound cross-border acquisitions differ in the year before national elections compared with other years. On average, the number of inbound cross-border deals is 1.4, or 5% fewer in target country pre-election years than in other years. In contrast, the number of outbound cross-border deals is 1.2, or 4% greater in acquirer country pre-election years than in other years. However, this simple graph does not take into account other factors that may affect cross-border acquisitions, such as economic development, trade openness, and legal institutions. We formally test whether the volume of cross-border acquisitions differs in the year before a national election in a parsimonious model, as follows:

$$\text{Ln}(\text{Number of cross-border acquisition})_{i,t} = \beta_0 + \beta_1 \text{Pre-election year}_{i,t} + \beta_2 X_{i,t} + \epsilon_{i,t}. \quad (1)$$

We employ the above specification to analyze whether target country political uncertainty affects its inbound acquisitions and whether acquirer country political uncertainty affects that country's outbound cross-border acquisitions. The dependent variable is the natural logarithm of 1 plus the number of cross-border acquisition deals with country i in year t.

In our main tests, we include only country-year observations with at least one cross-border deal in the sample, as in Erel, Liao, and Weisbach (2012).

The year before a national election is denoted by a dummy variable, pre-election, which equals one if year t is the year prior to the acquirer (target) country i's national election. We adjust the t-statistics for within-country correlation by clustering the standard errors at acquirer (target) country and year level.

X denotes the control variables, including the level of minority shareholder protection indicated by a common law dummy, ICRG measures of business environment, quality of institutions, economic development proxied by logarithm of GDP per capita, GDP annual growth rate, and trade-to-GDP ratio as an openness measure. As cross-country analysis is likely to suffer from omitted variable problems due to unobserved differences between countries, we include the lagged dependent variable to control for unobserved variables in a dynamic panel regression framework (Wooldridge, 2013).[4] The regressions are performed on 577 country-year observations, and the results are reported in Table III.

In Table III, the first three columns present results on the target country's election and inbound acquisitions, and the last three columns present results on the acquirer country's election and outbound acquisitions. The univariate estimates in Column (1) of Table III show a significant decrease in the volume of cross-border acquisitions in the year prior to target country elections. The economic magnitude of this effect is considerable; compared with years without a forthcoming election, the number of inbound cross-border acquisition deals is 7.4% lower in the year before a national election. Column (2) reports results controlling for other determinants of cross-border acquisitions. The coefficient drops slightly to 7.1% for a pre-election year but remains statistically significant at a 5% level. Results on other variables are consistent with our expectation. Rich countries, countries with better institutional quality, and countries with common law, attract more inbound acquisitions. In Column (3), we include a dummy variable corresponding to the exact year of a national election. The result shows that the year before an election is associated with 6.8% fewer inbound cross-border acquisitions, whereas the election year in the target country is associated with an insignificant 4% increase in inbound deals. This result supports our deterrence hypothesis: When a country is about to hold an election, foreign firms are deterred from doing inbound acquisitions.

The results in Columns (4)–(6) on the effects of acquirer country political uncertainty stand in sharp contrast to the results in the first three columns. We find that the number of outbound acquisitions increases by 7.5–11% in the year before the acquirer country's national elections. One implication of the delaying hypothesis suggests that firms would increase acquisitions from the normal pace after resolving the uncertainty. However, the results in Column (6) show that the volume of outbound acquisitions declines by 4.4% during election years. Overall, the evidence is consistent with implications from our hedging hypothesis: Ceteris paribus, when a country is about to hold an election, this encourages domestic firms to engage in outbound foreign acquisitions.

It is worth comparing the economic magnitude of how political uncertainty affects acquisitions with other studies. Julio and Yook (2012) show that firms reduce capital

4 As stated in Wooldridge (2013, p. 283), "Using a lagged dependent variable in a cross-sectional equation increases the data requirements, but it also provides a simple way to account for historical factors that cause current differences in the dependent variable that are difficult to account for in other ways."

Table III. Effect of elections on cross-border acquisitions: country-level analysis

This table presents estimates of the panel regressions of the volume of cross-border acquisitions by country and year. Columns (1)–(3) report estimation results on target–country inbound acquisitions, where the dependent variable is Ln(Number of cross-border acquisitions by target nation), defined as the natural logarithm of one plus the total number of cross-border deals in year t (X_{it}) in which the target is from country i, and only target country-year observations with at least one inbound cross-border acquisition deal in the sample are included. Pre-election is a dummy variable that equals one if the observation year is the year just before the target nation election year, and zero otherwise. Columns (4)–(6) report the estimation results on acquirer country outbound acquisitions, where the dependent variable is Ln(Number of cross-border acquisitions by acquirer nation), defined as the natural logarithm of one plus the total number of cross-border deals in year t (X_{it}) in which the acquirer is from country i, and only acquirer country-year observations with at least one outbound cross-border acquisition deal in the sample are included. Pre-election is a dummy variable that equals one if the observation year is the year just before the acquirer nation election year, and zero otherwise. Other variable definitions are set forth in Appendix Table AI. The sample period is from 2001 to 2013. Year-fixed effects are included in all regressions. Standard errors are clustered at the country and year levels, and associated t-statistics are reported in parentheses. *, **, and *** denote statistical significance at the 10%, 5%, and 1% level, respectively.

	Ln(Number of inbound cross-border acquisitions by target nations)			Ln(Number of outbound cross-border acquisitions by acquirer nations)		
	(1)	(2)	(3)	(4)	(5)	(6)
Pre-election year	−0.074**	−0.071**	−0.068*	0.111**	0.089**	0.075**
	(−1.96)	(−2.25)	(−1.84)	(2.45)	(2.52)	(2.40)
Election year			0.040			−0.044**
			(0.91)			(-2.44)
Common law		0.135*	0.134		0.270***	0.271***
		(1.66)	(1.63)		(3.45)	(3.45)
GDP growth		−0.060	−0.049		−0.336	−0.350*
		(−0.39)	(−0.31)		(−1.57)	(−1.66)
Ln(GDP per capita)		0.005	0.004		0.066*	0.067**
		(0.12)	(0.10)		(1.93)	(1.98)
Business environment		0.008	0.009		0.006	0.006
		(0.54)	(0.57)		(0.53)	(0.49)
Quality of institution		0.019	0.019		0.031*	0.031*
		(1.47)	(1.45)		(1.73)	(1.77)
Trade/GDP		−0.098*	−0.097*		−0.038	−0.039
		(−1.71)	(−1.68)		(−0.97)	(−1.00)
Lagged D.V.		0.714***	0.715***		0.666***	0.665***
		(13.53)	(13.61)		(13.24)	(13.21)
Year-fixed effect	Y	Y	Y	Y	Y	Y
Observations	577	577	577	577	577	577
R-squared	0.863	0.867	0.868	0.900	0.908	0.908

expenditures by 4.8% during pre-election years relative to nonelection years. Our results indicate that target country political uncertainty exerts a greater impact in deterring inbound acquisitions than does capital expenditure. Rossi and Volpin (2004) show that the frequency of mergers is 7.5% higher in common law countries than in civil-law countries, and 12% higher in countries with better accounting standards and shareholder protections. Our results reveal that the effect of political uncertainty on cross-border acquisition is comparable to that of legal origin and investor protection variables.

We investigate whether our results can be explained alternatively. One possible explanation is the electoral–business cycle argument. For instance, favorable economic conditions can boost incumbent popularity and incumbent politicians have an incentive to stimulate the economy to bolster their re-election chances. Thus, our results may be driven by macroeconomic fundamentals rather than political uncertainty. However, if this were true, we would expect the volume of domestic acquisitions to increase before elections. In Table IV, we analyze the volume of domestic acquisition deals the year before a national election. In Column (1), we find a small decrease in the number of domestic acquisition deals pre-election, but the coefficient is statistically insignificant. When we replace the volume measure of domestic deals with the share of domestic acquisitions out of all acquisitions in Column (2), we find that the share of domestic acquisitions is lower by 3.4 percentage points in the year before a national election. This is consistent with evidence of investment reduction documented in Julio and Yook (2012). This result suggests that, contrary to the prediction of the electoral–business cycle hypothesis, the share of domestic acquisitions is lower in the year before a national election than in other years. In sum, these results are inconsistent with the explanation from the electoral–business cycle argument.

Moreover, we examine changes to the volume of cross-border acquisitions, using percentage changes in the number of cross-border acquisitions by the acquirer nation and the target nation as dependent variables, as reported in Columns (3) and (4). The results show that annual growth of cross-border deals declines before the target nation's election but increases significantly before the acquirer nation's election, which provides additional support for our main results. In Columns (5) and (6), we check the robustness of our results by estimating the model on the full sample of country-years, which also includes countries with zero cross-border acquisitions; our results remain unchanged. One might object that US firms drive our findings, as acquirers from the USA constitute a large proportion of our sample. In unreported tables, we address this concern by excluding acquisitions in which the acquirer firm is from the USA; the main findings continue to hold.

4.2 Deterrence Hypothesis and Risk of Expropriation

The above results that inbound acquisitions decline prior to a target country's election are consistent with our deterrence hypothesis. When a country is about to hold an election, the potential change in government can induce more instability and magnify the risk of expropriation. We expect the deterrence effects of the target country's political uncertainty to be greater when the country's perceived risk of expropriation is greater. To test this hypothesis, we construct several measures of a country's expropriation risk.

Our first risk of expropriation measure is based on historical information regarding a country's incidents of national seizure of foreign assets (Minor, 1994; Hajzler, 2012). The dummy variable "Expropriation incident" is equal to one if a country had at least one incident of government seizure of foreign assets in the past 15 years. The second measure of

Table IV. Effect of elections on cross-border acquisitions: tests for alternative explanations and robustness checks

This table presents country-level tests of alternative explanations and robustness checks. Columns (1) and (2) present estimates of the panel regressions of the volume of domestic deals by country and year, where the dependent variables are the natural logarithm of one plus the number of domestic acquisitions and domestic share, respectively. Domestic share is defined as the ratio of the number of domestic deals to the total number of domestic deals and outbound cross-border deals by acquirer country. Only country-year observations with at least one domestic deal in the sample are included in Columns (1) and (2). Columns (3) and (4) report estimates of the panel regressions of changes to the volume of cross-border acquisitions by country and year, where the dependent variables are annual change of natural logarithm of the number of cross-border acquisitions by acquirer country and target country, respectively, and only country–year observations with at least one cross-border acquisition deal in the sample are included. Columns (5) and (6) report estimates of panel regressions of cross-border acquisitions by acquirer country and target country, respectively, and all country–year observations including those with no cross-border deals are included in the sample. Pre-election year is a dummy variable that equals one if the observation year is the year before a nation's election year, and zero otherwise. Other variable definitions are set forth in Appendix Table AI. The sample period is from 2001 to 2013. Year-fixed effects are included in all regressions. Standard errors are clustered at the country and year levels, and associated *t*-statistics are reported in parentheses. *, **, and *** denote statistical significance at the 10%, 5%, and 1% level, respectively.

	Domestic M&A		Annual change of cross-border M&A		All sample	
	Ln(Number of domestic acquisitions)	Domestic share by acquirer nations	Annual change of cross-border acquisitions by target nations)	Annual change of cross-border acquisitions by acquirer nations)	Ln(Number of inbound cross-border acquisitions by target nations)	Ln(Number of outbound cross-border acquisitions by acquirer nations)
	(1)	(2)	(3)	(4)	(5)	(6)
Pre-election year	−0.018	−0.034**	−0.082**	0.063*	−0.102**	0.085**
	(−0.42)	(−2.26)	(−2.02)	(1.78)	(−2.48)	(2.51)
Common law	0.248*	0.021	0.055	0.037	0.065	0.250***
	(1.94)	(0.72)	(1.44)	(1.58)	(0.89)	(3.48)
GDP growth	0.014	0.082	−0.263**	−0.411**	−0.004	−0.384**
	(0.06)	(0.94)	(−2.08)	(−2.02)	(−0.02)	(−2.02)
Ln(GDP per capita)	0.053	−0.019	0.105	0.302	0.029	0.074**
	(1.00)	(−0.91)	(0.41)	(1.62)	(1.03)	(2.27)
Business environment	0.012	0.004	0.015	−0.021	0.006	0.004
	(0.64)	(0.63)	(0.30)	(−0.79)	(0.42)	(0.35)
Quality of institution	−0.010	−0.012*	0.019	0.033	0.014	0.029*
	(−0.54)	(−1.66)	(0.76)	(1.07)	(1.50)	(1.82)
Trade/GDP	−0.130*	−0.042*	−0.231	0.218	−0.075	−0.033
	(−1.67)	(−1.69)	(−0.52)	(1.00)	(−1.42)	(−0.90)
Lagged D.V.	0.936***	0.390***	−0.426***	−0.435***	0.716***	0.666***
	(33.11)	(5.45)	(−7.15)	(−6.80)	(13.16)	(13.96)
Year-fixed effect	Y	Y	Y	Y	Y	Y
Observations	577	577	577	577	611	611
R-squared	0.902	0.367	0.350	0.283	0.882	0.917

risk of expropriation is from the ICRG assessment score of the risk of "outright confiscation and forced nationalization" of property between 1982 and 1995, with lower scores given to countries where expropriation of private foreign investment is a likely event. We construct a dummy variable of "Low expropriation risk" as a dummy variable that equals one if the above expropriation score is greater than the 90th percentile in our sample. Countries with more "checks and balances" often have institutions in place to prevent the executive branch of government from exerting too much power. Having more checks and balances can ensure the absence of coercion by government and the economic freedom of their citizens. Along this line, we construct the third variable, "Checks and balances," a dummy variable that equals one if a country scores higher than the median country in terms of judicial and legislative checks on executives in the DPI.

The results are presented in Table V. In Columns (1), (3), and (5), we interact the target country's pre-election year variable with the measures of expropriation risk. Consistent with our prediction, we find that when a country is about to hold an election, this further deters a foreign country's inbound acquisitions if the target country has a greater expropriation risk. The results in Column (1) suggest that pre-election, foreign firms' inbound acquisitions decline by about 20% if the target country had at least one expropriation incident in the past 15 years. After controlling for the interaction term, the main effects of the pre-election year variable become statistically insignificant. We acknowledge that a past expropriation incident might be noisy. We use a risk assessment of confiscation and nationalization from the ICRG as a more direct measure of expropriation risk and judicial checks and balances as an indirect measure. We find that a similar conclusion can be drawn about target countries with a greater risk of confiscation and nationalization and countries with fewer checks and balances. We also explore whether expropriation risk in the home country can affect outbound cross-border acquisitions before an acquirer country's elections. The results in Column (2) indicate that an acquirer country's elections tend to encourage more acquirers to engage in outbound acquisition if the country had previous expropriation incidents. This piece of evidence lends support to our hedging hypothesis: Firms pursue outbound cross-border acquisitions to hedge against home country political risks before elections.

4.3 Country-Pair Analysis

We further test our hypotheses by performing our analysis on a sample in which the unit of observation is a country pair–year. The nature of the sample allows us to analyze which target countries to choose for outbound cross-border acquisitions. We first explore the interactive effects of acquirer nation and target nation political uncertainty. The country-pair regression specification is as follows:

$$\begin{aligned}&\text{Ln(Number of cross-border acquisition) pair}_{i,j,t} = \beta_0 + \beta_1\text{Pre-election\_Acquirer}_{i,t}\\&+\beta_2\text{Pre-election\_Acquirer}_{i,t} \times \text{Pre-election\_Target}_{i,t} + \beta_3\text{Pre-election\_Target}_{i,t}\\&+\beta_4 X_{i,j,t} + \epsilon_{i,j,t},\end{aligned} \tag{2}$$

where the dependent variable is the logarithm of one plus the total number of cross-border deals in year t in which the acquirer is from country i and the target is from country j (where $i \neq j$). Note that only country pair–year observations with at least one cross-border deal are included. Control variables include the difference in economic development, trade openness, legal origin, and investor protection between country acquirer i and target

Table V. National elections and inbound cross-border acquisitions: fear of expropriation

This table presents estimation results of specifications with interaction terms between pre-election year dummy and country characteristics, where the dependent variable is Ln(Number of cross-border acquisitions by target nation), defined as the natural logarithm of one plus the total number of cross-border deals in year t (X_{it}) in which the target is from country i, and only target country–year observations with at least one inbound cross-border acquisition deal are included in the sample. Only country–year observations with at least one cross-border acquisition deal in the sample are included. Pre-election is a dummy variable that equals one if the observation year is the year just before election year, and zero otherwise. Expropriation incident is a dummy variable that equals one if the country has expropriated foreign investment in the past 15 years, and zero otherwise. We construct the risk of expropriation measure from ICRG's assessment score of the risk of "outright confiscation" or "forced nationalization" between 1982 and 1995, with higher scores indicating lower risk. Low expropriation risk is a dummy variable that equals one if the above expropriation score is greater than the 90th percentile. Checks and balances is a dummy variable that equals one if the judicial check of executive score is greater than that of the median country in DPI. Other variable definitions are set forth in Appendix Table AI. The sample period is from 2001 to 2013. Year-fixed effects are included in all regressions. Standard errors are clustered at the country and year levels, and associated t-statistics are reported in parentheses. *, **, and *** denote statistical significance at the 10%, 5%, and 1% level, respectively.

	Expropriation history		Assessment of expropriation risk		Checks and balances	
	Ln(Number of cross-border acquisitions by target nations)	Ln(Number of cross-border acquisitions by acquirer nations)	Ln(Number of cross-border acquisitions by target nations)	Ln(Number of cross-border acquisitions by acquirer nations)	Ln(Number of cross-border acquisitions by target nations)	Ln(Number of cross-border acquisitions by acquirer nations)
	(1)	(2)	(3)	(4)	(5)	(6)
Pre-election year	−0.048	0.032	−0.083*	0.086**	−0.140***	0.093**
	(−1.36)	(0.82)	(−1.69)	(2.21)	(−2.97)	(2.14)
Pre-election year * expropriation incident	−0.197**	0.411**				
	(−2.09)	(1.99)				
Expropriation incident	0.204***	0.011				
	(2.59)	(0.13)				
Pre-election year * low expropriation risk			0.127**	−0.003		
			(2.39)	(−0.03)		
Low expropriation risk			0.173**	0.341***		
			(2.34)	(3.07)		

(continued)

Table V. Continued

	Expropriation history		Assessment of expropriation risk		Checks and balances	
	Ln(Number of cross-border acquisitions by target nations)	Ln(Number of cross-border acquisitions by acquirer nations)	Ln(Number of cross-border acquisitions by target nations)	Ln(Number of cross-border acquisitions by acquirer nations)	Ln(Number of cross-border acquisitions by target nations)	Ln(Number of cross-border acquisitions by acquirer nations)
	(1)	(2)	(3)	(4)	(5)	(6)
Pre-election year * checks and balances					0.232**	−0.025
					(2.58)	(−0.31)
Checks and balances					−0.007	0.129**
					(−0.11)	(2.33)
Common law	0.152*	0.278***	0.065	0.300***	0.136*	0.278***
	(1.82)	(3.59)	(1.36)	(4.32)	(1.66)	(3.74)
GDP growth	−0.076	−0.263	0.021	−0.339	−0.058	−0.362*
	(−0.46)	(−1.21)	(0.15)	(−1.60)	(−0.38)	(−1.77)
Ln(GDP per capita)	0.009	0.064*	−0.020	0.061*	0.007	0.064**
	(0.24)	(1.93)	(−0.54)	(1.75)	(0.17)	(2.16)
Business environment	0.018	0.013	0.013	0.011	0.009	0.012
	(1.31)	(1.21)	(0.96)	(0.91)	(0.63)	(1.08)
Quality of institution	0.023*	0.033*	0.018	0.026	0.017	0.028
	(1.92)	(1.85)	(1.60)	(1.44)	(1.37)	(1.64)
Trade/GDP	−0.095*	−0.038	−0.042	−0.025	−0.098*	−0.035
	(−1.75)	(−1.02)	(−1.23)	(−0.71)	(−1.70)	(−0.92)
Lagged D.V.	0.700***	0.671***	0.705***	0.628***	0.706***	0.650***
	(12.81)	(13.78)	(18.57)	(12.94)	(13.94)	(12.74)
Year-fixed effect	Y	Y	Y	Y	Y	Y
Observations	577	577	577	577	577	577
R-squared	0.870	0.910	0.887	0.912	0.869	0.909

country *j*, as well as dummy variables indicating same language, region, and religion to control for proximity and familiarity motives in cross-border deals.

Table VI presents the results. The results in Columns (1)–(4) confirm our prior finding that the number of cross-border acquisitions declines before a target national election but increases before an acquirer national election. The coefficients suggest that the number of cross-border acquisitions drops by 2.5 percentage points before a target country national election but increases by 2.7 percentage points before an acquirer country national election. We find that more acquisition transactions occur between countries speaking the same language and located in the same region. This result is consistent with the findings in Rossi and Volpin (2004), Starks and Wei (2013), Bris and Cabolis (2008), and Ferreira, Massa, and Matos (2010).

In Column (6), we report the results when we include the interaction effects of Pre-election_Acquirer and Pre-election_Target. The main effect of the acquirer nation's political uncertainty on the tendency to pursue outbound cross-border acquisition remains significant at 3.6 percentage points, but the effect of the target nation's political uncertainty on inbound acquisitions turns out to be insignificant. Moreover, the estimate of the interaction term is negative and statistically significant at the 5% level, which implies that the number of cross-border acquisitions declines by 2.7 percentage points (6.3–3.6) in the year when both the acquirer and target countries are going to hold an election. This evidence suggests that the deterring effect of target country political uncertainty dominates the encouraging effects of acquirer country political uncertainty. When a country is about to hold an election, this encourages firms to hedge against uncertainty by pursuing outbound acquisitions, but firms will avoid target countries with forthcoming elections.

4.4 Further Evidence on Choice of Target Countries

If firms pursue outbound cross-border acquisitions to hedge against home country political risks before elections, they are more likely to choose destination countries with lower political uncertainty or countries that can offset the home country uncertainty. We construct several variables to test this hypothesis. First, we obtain information on whether two countries have an FTA in place. Second, we define whether two countries are military allies using information from the Correlates of War (COW) Formal Alliance data set (Gibler, 2009), in which countries are military allies if they sign a defense pact committing to provide military help when other ally members are attacked. We reason that having an FTA and/or military alliances would provide assurance for the acquirers' interests in the host country. We report results in Table VII from our analysis of the effects of FTA and military alliances. Consistent with our expectation, we find that prior to acquirer home country elections, acquirers are 4.7% more likely to choose firms in a target country with an FTA, and 6% more likely to choose firms in military alliance countries. The increased probability for outbound acquisitions is concentrated in target countries that are not about to hold a national election, as indicated in Columns (2) and (4).

In another test, we focus on the difference in investor protections between acquirer and target countries. We expect acquiring firms to select target countries with better institutions, better investor protection, and more friendly attitudes toward takeovers, to better hedge against home country political uncertainty. We examine three aspects of investor protection to test this hypothesis. The first is bureaucracy quality. We construct a categorical variable capturing the difference between acquirer and target countries. This variable

Table VI. Political elections and cross-border acquisitions: country-pair-level evidence

This table presents estimates of the panel regressions of the volume of cross-border acquisitions by country-pair and year. The dependent variable is the natural logarithm of one plus the number of cross-border acquisitions in year t (X_{ijt}) between acquirer country i and target country j. Only country-pair–year observations with at least one cross-border acquisition deal in the sample are included. Pre-election Acquirer (Target) is a dummy variable that equals one if the observation year is the year just before acquirer (target) nation's election year, and zero otherwise. Election year Acquirer (Target) is a dummy variable that equals one if the observation year is acquirer (target) nation's election year, and zero otherwise. Other variable definitions are set forth in Appendix Table AI. The sample period is from 2001 to 2013. Year-fixed effects are included in all regressions. Standard errors are clustered at the country-pair level and year level, and associated t-statistics are reported in parentheses. *, **, and *** denote statistical significance at the 10%, 5%, and 1% level, respectively.

	Ln(Number of cross-border acquisitions) pair					
	(1)	(2)	(3)	(4)	(5)	(6)
Pre-election target	−0.025**	−0.021**			−0.024**	−0.009
	(−2.33)	(−2.05)			(−2.01)	(−0.60)
Election year target		0.012				
		(0.89)				
Pre-election acquirer			0.027***	0.027**	0.022*	0.036***
			(2.91)	(2.35)	(1.89)	(2.68)
Election year acquirer				0.001		
				(0.04)		
Pre-election target * pre-election acquirer						−0.063**
						(−2.35)
Common law$_{i–j}$	0.107***	0.107***	−0.053***	−0.053***	0.034**	0.034**
	(7.08)	(7.08)	(−2.92)	(−2.95)	(1.99)	(1.99)
GDP growth$_{i–j}$	−0.042	−0.043	0.001	0.001	−0.018	−0.018
	(−0.81)	(−0.83)	(0.02)	(0.02)	(−0.31)	(−0.32)
Ln(GDP per capita)$_{i–j}$	0.025***	0.025***	−0.026***	−0.026***	−0.001	−0.002
	(2.84)	(2.86)	(−2.62)	(−2.61)	(−0.16)	(−0.18)
Business environment$_{i–j}$	0.007**	0.007**	−0.007**	−0.007**	0.003	0.003
	(2.26)	(2.24)	(−2.19)	(−2.21)	(1.07)	(1.08)
Quality of institution$_{i–j}$	−0.001	−0.001	0.006**	0.006**	0.004	0.004
	(−0.35)	(−0.32)	(2.56)	(2.56)	(1.51)	(1.54)
Trade/GDP$_{i–j}$	−0.028***	−0.028***	0.040***	0.040***	0.008	0.008
	(−3.90)	(−3.90)	(6.97)	(6.94)	(1.04)	(1.02)
Same language	0.116***	0.116***	0.106***	0.106***	0.122***	0.122***
	(4.13)	(4.13)	(3.54)	(3.55)	(4.51)	(4.49)
Same religion	−0.005	−0.005	−0.001	−0.001	0.009	0.009
	(−0.28)	(−0.28)	(−0.07)	(−0.07)	(0.53)	(0.55)
Same region	0.067***	0.067***	0.069***	0.069***	0.126***	0.127***
	(3.55)	(3.56)	(3.41)	(3.41)	(6.65)	(6.74)
Lagged D.V.	0.406***	0.406***	0.410***	0.410***	0.359***	0.358***
	(23.37)	(23.35)	(21.22)	(21.20)	(18.88)	(19.05)
Year-fixed effect	Y	Y	Y	Y	Y	Y
Observations	4,458	4,458	4,458	4,458	4,458	4,458
R-squared	0.533	0.533	0.530	0.530	0.551	0.552

Table VII. Political elections and cross-border acquisitions: bilateral relations

This table presents estimates of the panel regressions of the volume of cross-border acquisitions by country-pair and year. The dependent variable is the natural logarithm of one plus the number of cross-border acquisitions in year t (X_{ijt}) between acquirer country i and target country j. Only country-pair–year observations with at least one cross-border acquisition deal in the sample are included. Pre-election acquirer (target) is a dummy variable that equals one if the observation year is the year just before acquirer (target) nation's election year, and zero otherwise. Pair with (without) FTA is a dummy variable that equals one when target and acquirer countries have (do not have) an FTA, and zero otherwise. Pair with (without) Ally is a dummy variable that equals one when target and acquirer countries have (do not have) military allies, and zero otherwise. Other variable definitions are set forth in Appendix Table AI. The sample period is from 2001 to 2013. Year-fixed effects are included in all regressions. Standard errors are clustered at the country-pair level and year level, and associated t-statistics are reported in parentheses. *, **, and *** denote statistical significance at the 10%, 5%, and 1% level, respectively.

	Ln(Number of cross-border acquisitions) pair			
	(1)	(2)	(3)	(4)
Pre-election acquirer * pair with FTA	0.047***			
	(3.14)			
Pre-election acquirer * pair with FTA * pre-election target		−0.039**		
		(−2.39)		
Pre-election acquirer * pair with FTA * (1-pre-election target)		0.070***		
		(3.84)		
Pre-election acquirer * pair without FTA	0.012	0.012		
	(1.19)	(1.24)		
Pre-election acquirer * pair with Ally			0.060***	
			(3.94)	
Pre-election acquirer * pair with Ally * pre-election target				0.030
				(0.75)
Pre-election acquirer * pair with Ally * (1-pre-election target)				0.069***
				(3.82)
Pre-election acquirer * pair without Ally			0.007	0.007
			(0.62)	(0.63)
Common law$_{i-j}$	−0.053***	−0.053***	−0.052***	−0.052***
	(−2.93)	(−2.92)	(−2.94)	(−2.94)
GDP growth$_{i-j}$	0.003	0.001	0.000	−0.000
	(0.04)	(0.02)	(0.00)	(−0.00)
Ln(GDP per capita)$_{i-j}$	−0.026***	−0.026***	−0.025**	−0.025**
	(−2.60)	(−2.60)	(−2.57)	(−2.57)
Business environment$_{i-j}$	−0.007**	−0.007**	−0.007**	−0.007**
	(−2.20)	(−2.18)	(−2.22)	(−2.21)
Quality of institution$_{i-j}$	0.006**	0.006**	0.006**	0.006**
	(2.57)	(2.56)	(2.55)	(2.54)

(continued)

Table VII. Continued

	Ln(Number of cross-border acquisitions) pair			
	(1)	(2)	(3)	(4)
Trade/GDP$_{i-j}$	0.041***	0.041***	0.040***	0.040***
	(6.95)	(6.91)	(7.09)	(7.10)
Same language	0.107***	0.107***	0.108***	0.108***
	(3.58)	(3.54)	(3.59)	(3.58)
Same religion	−0.001	−0.001	−0.003	−0.002
	(−0.07)	(−0.03)	(−0.15)	(−0.14)
Same region	0.063***	0.063***	0.065***	0.066***
	(3.08)	(3.14)	(3.16)	(3.16)
Lagged D.V.	0.410***	0.409***	0.409***	0.409***
	(21.13)	(21.08)	(21.30)	(21.26)
Year-fixed effect	Y	Y	Y	Y
Observations	4,458	4,458	4,458	4,458
R-squared	0.531	0.532	0.531	0.531

equals one if the bureaucracy quality of the acquirer country is better than the target country, minus one if the bureaucracy quality of the acquirer country is worse than the target country, and zero if the bureaucracy quality of the acquirer country is as good as the target country. We define variables regarding shareholder protection and takeover-friendly index in a similar fashion. In Table VIII, we report estimation results when we include interaction terms of the acquirer country's pre-election year dummy, along with the three variables of investor protection difference. Across all columns, the interaction term is significantly negative, which indicates that pre-election outbound cross-border acquisitions are more likely to flow into countries with better bureaucracy quality and better shareholder protection, as well as countries that are friendlier toward takeovers. This evidence further supports our hedging hypothesis: Firms pursue outbound cross-border acquisitions to target countries with better investor protections to ensure their own interests.

5. Announcement Returns Analysis

This section uses deal-level data to analyze the outcomes of cross-border acquisitions in the year prior to national elections. In particular, we examine acquirer announcement returns for outbound cross-border acquisitions before national elections. We conjecture that stock markets would react more favorably to cross-border acquisitions in the year before an acquirer country election relative to other years, because such deals help acquirers diversify home country political uncertainty, but less favorably in the year before a target country election, because such deals can encounter host country political uncertainty.

We use acquirer CARs over a seven-day event window (−3, +3) to measure value creation of deals.[5] Abnormal returns are calculated using a market model based on the (−252, −30) window with value-weighted market returns as benchmarks. We then regress the acquirer CARs of cross-border deals on the pre-election dummy in a multivariate model.

5 Other event windows such as (−1, +1) and (−2, +2) produce very similar results.

Table VIII. Political elections and cross-border acquisitions: choice of target countries

This table presents estimates of the panel regressions of the volume of cross-border acquisitions by country-pair and year. The dependent variable is natural logarithm of one plus the number of cross-border acquisitions in year *t* (X_{ijt}) between acquirer country *i* and target country *j*. Only country pair–year observations with at least one cross-border acquisition deal in the sample are included. Pre-election acquirer (target) is a dummy variable that equals one if the observation year is the year just before acquirer (target) nation's election year, and zero otherwise. Bureaucracy Quality$_{i-j}$ is a categorical variable corresponding to the difference in bureaucracy quality between acquirer country *i* and target country *j*. It equals one if bureaucracy quality of the acquirer country is better than the target country, minus one if the bureaucracy quality of acquirer country is worse than the target country, and zero if bureaucracy quality of the acquirer country is as good as that of the target country. Shareholder protection $i-j$ and takeover friendly index $i-j$ are similarly defined. Other variable definitions are set forth in Appendix Table AI. The sample period is from 2001 to 2013. Year-fixed effects are included in all regressions. Standard errors are clustered at the country-pair and year level, and associated *t*-statistics are reported in parentheses. *, **, and *** denote statistical significance at the 10%, 5%, and 1% level, respectively.

	Ln(Number of cross-border acquisitions) pair		
	(1)	(2)	(3)
Pre-election acquirer	0.033***	0.038***	0.027**
	(3.97)	(4.10)	(2.13)
Pre-election acquirer * bureaucracy quality$_{i-j}$	−0.038**		
	(−2.35)		
Bureaucracy quality$_{i-j}$	0.001		
	(0.09)		
Pre-election acquirer * shareholder protection$_{i-j}$		−0.028**	
		(−2.34)	
Shareholder protection$_{i-j}$		−0.077***	
		(−3.20)	
Pre-election acquirer * takeover friendly index$_{i-j}$			−0.010**
			(−2.43)
Takeover friendly index$_{i-j}$			−0.061**
			(−2.17)
Common law$_{i-j}$	−0.051***	−0.136***	−0.130***
	(−2.80)	(−3.55)	(−3.09)
GDP growth$_{i-j}$	0.003	0.038	0.024
	(0.05)	(0.31)	(0.18)
Ln(GDP per capita)$_{i-j}$	−0.025**	−0.069***	−0.072***
	(−2.51)	(−3.10)	(−3.08)
Business environment$_{i-j}$	−0.008**	−0.024***	−0.021**
	(−2.34)	(−2.91)	(−2.56)
Quality of institution$_{i-j}$	0.007***	0.025***	0.020***
	(2.86)	(3.12)	(2.78)
Trade/GDP$_{i-j}$	0.040***	0.101***	0.110***
	(7.01)	(5.92)	(6.15)
Same language	0.106***	0.438***	0.448***
	(3.54)	(4.23)	(4.28)

(continued)

Table VIII. Continued

	Ln(Number of cross-border acquisitions) pair		
	(1)	(2)	(3)
Same religion	−0.001	0.019	0.019
	(−0.04)	(0.39)	(0.40)
Same region	0.068***	0.225***	0.230***
	(3.37)	(3.94)	(4.02)
Lagged D.V.	0.410***	0.486***	0.485***
	(21.20)	(16.20)	(16.13)
Year-fixed effect	Y	Y	Y
Observations	4,458	4,458	4,458
R-squared	0.531	0.371	0.368

The estimation results are reported in Table IX. Not many independent variables are significantly associated with acquirer CARs in a consistent fashion, but acquiring a publicly listed target tends to hurt acquiring-firm shareholder value. The acquirers' announcement returns for cross-border deals are significantly higher in the year before the acquirer nation's election, but lower the year before the target nation's election. On average, acquirers experience 1.8 percentage points lower 7-day CARs when acquiring targets the year before a target nation's election, and firms doing cross-border acquisitions in the year before the acquirer nation's election experience 2.3 percentage points higher 7-day CARs around deal announcement. The last column in Table IX reports results after we include the interaction terms of acquirer country and target country pre-election variables. The result indicates that stock markets react negatively (−1.5 percentage points) to cross-border acquisitions during the year that both the acquirer and target nation are holding a national election. In sum, stock markets react more favorably to outbound acquisitions prior to source country elections, but less favorably to acquisitions in a target country that is about to hold a national election.

6. Conclusions

Using national elections as a source of variation in political uncertainty, we study the link between political uncertainty and cross-border acquisitions in a sample of fourty-seven countries between 2001 and 2013. We find strong evidence that political uncertainty affects the volume and outcome of cross-border acquisitions. On the one hand, political uncertainty in target countries deters foreign firms' inbound acquisitions, especially when the target country has greater expropriation risk. On the other hand, political uncertainty in acquirer countries tends to encourage firms to do outbound acquisitions, especially with target countries that have FTAs or military allies in place, consistent with the predictions of the uncertainty-hedging hypothesis. At the transaction level, the stock market reacts more favorably to cross-border deals before an acquirer country's national election, but less favorably to deals involving a target firm before that country's national election. Overall, the results shed new light on the effects of political uncertainty by generating evidence through cross-border acquisition channels.

Table XI. Analysis of CARs around acquisition announcements

This table presents estimation results of acquirer CAR around deal announcements. CAR(−3, +3) is CARs of (−3, +3) event windows around deal announcement for the acquirer. Daily abnormal returns are calculated using a market model based on a (−252, −30) event window. Pre-election acquirer (Target) is a dummy variable that equals one if the observation year is the year just before acquirer (target) nation's election year, and zero otherwise. Other variable definitions are set forth in Appendix Table AI. The sample period is from 2001 to 2013. Dummies for acquirer country, acquirer two-digit SIC code, and year are included in all regressions. Standard errors are corrected for clustering of observations at the country-pair and year levels, and associated *t*-statistics are reported in parentheses. *, **, and *** denote statistical significance at the 10%, 5%, and 1% level, respectively.

	Acquirer CAR(−3, +3)			
	(1)	(2)	(3)	(4)
Pre-election target	−0.018**		−0.016**	−0.003
	(−2.01)		(−2.04)	(−0.76)
Pre-election acquirer		0.023**	0.022*	0.020**
		(1.98)	(1.83)	(1.99)
Pre-election target * pre-election acquirer				−0.035***
				(−4.47)
Common law$_{i-j}$	−0.007	−0.007	−0.007	−0.007
	(−0.85)	(−0.91)	(−0.86)	(−0.87)
GDP growth$_{i-j}$	−0.019	−0.029**	−0.036*	−0.036*
	(−1.46)	(−2.43)	(−1.77)	(−1.81)
Ln(GDP per capita)$_{i-j}$	0.006	0.006	0.006	0.006
	(0.01)	(0.01)	(0.01)	(0.01)
Business environment$_{i-j}$	−0.004**	−0.004***	−0.004***	−0.004***
	(−2.42)	(−2.68)	(−2.70)	(−3.03)
Quality of institution$_{i-j}$	0.001	0.001	0.001	0.001
	(0.58)	(0.55)	(0.48)	(0.48)
Trade/GDP$_{i-j}$	0.005	0.005	0.005	0.006
	(1.25)	(1.29)	(1.26)	(1.29)
Ln(deal value)	−0.007	−0.007	−0.007	−0.007
	(−1.45)	(−1.45)	(−1.45)	(−1.45)
Related deal	−0.006	−0.006	−0.006	−0.006
	(−0.68)	(−0.65)	(−0.66)	(−0.68)
Same industry	−0.033*	−0.033*	−0.033*	−0.033*
	(−1.69)	(−1.70)	(−1.69)	(−1.70)
Target public firm	−0.016**	−0.017**	−0.016**	−0.016**
	(−2.30)	(−2.36)	(−2.28)	(−2.22)
Acquire nation-fixed effect	Y	Y	Y	Y
Acquire SIC-fixed effect	Y	Y	Y	Y
Year-fixed effect	Y	Y	Y	Y
Observations	11,097	11,097	11,097	11,097
R-squared	0.012	0.012	0.012	0.012

Appendix

Table AI. Description of variables and data sources

Variable	Description and data sources
	Election variables
Pre-election year	Dummy variable that equals one when year *t* is the year prior to an election year for the country (DPI).
Election year	Dummy variable that equals one when year *t* is an election year for the country (DPI).
Pre-election acquirer	Dummy variable that equals one when year *t* is the year prior to an election year for the corresponding acquirer country (DPI).
Election year acquirer	Dummy variable that equals one when year *t* is an election year for the corresponding acquirer country (DPI).
Pre-election target	Dummy variable that equals one when year *t* is the year prior to an election year for the corresponding target country (DPI).
Election year target	Dummy variable that equals one when year *t* is an election year for the corresponding target country (DPI).
	Country-level variables
Ln(Number of cross-border acquisitions by acquirer nations)	Natural logarithm of one plus total number of cross-border deals in year *t* (X_{it}) in which the acquirer is from country *i* (SDC).
Ln(Number of cross-border acquisitions by target nations)	Natural logarithm of one plus total number of cross-border deals in year *t* (X_{it}) in which the target is country *i* (SDC).
Ln(Number of domestic acquisitions)	Ln(1 + total number of domestic deals in year *t* (X_{it}) in which the acquirer and target are both from country *i*) (SDC).
Domestic share	Ratio of domestic deals to total number of domestic deals and out-bound cross-border deals (SDC).
Common law	Equals one if origin of company law in the country is English common law, and zero otherwise (La Porta *et al.*, 1998).
GDP growth	Growth rate of gross domestic product in US dollars (WDI).
Ln(GDP per capita)	Logarithm of gross domestic product per capita in US dollars (WDI).
Business environment	Investment profile index from the ICRG.
Quality of institutions	Sum of ICRG Political Risk (ICRGP) subcomponents—corruption, law and order, and bureaucratic quality—between acquirer nation *i* and target nation *j* (Bekaert, Harvey, and Lundblad, 2005).
Trade-to-GDP	Sum of imports and exports divided by GDP (WDI).
Expropriation incident	Dummy variable that equals one if the country expropriated foreign investment in the last 15 years, and zero otherwise (Minor, 1994; Hajzler, 2012).
Low expropriation risk	Risk of expropriation measure from ICRG's assessment score of the risk of "outright confiscation" or "forced nationalization" between 1982 and 1995, with higher scores indicating lower risks (La Porta *et al.*, 1998). Low expropriation risk is a dummy variable that equals one if the above expropriation score is greater than the 90th percentile.

(continued)

Table AI. Continued

Variable	Description and data sources
Checks and balances	Dummy variable that equals one if the number of veto players in the national political system is more than the median of all country (DPI).
	Country-pair-level variables
Ln(Number of cross-border acquisitions) pair	Natural logarithm of one plus total number of cross-border deals in year t (X_{ijt}) in which the acquirer is from country i and the target is from country j (where $i \neq j$) (SDC).
Common law$_{i-j}$	Difference in common law dummy between acquirer country i and target country j. Refer to Panel B for definition of common law.
GDP growth$_{i-j}$	Difference in GDP growth between acquirer country i and target country j. Refer to Panel B for definition of GDP growth.
Ln(GDP per capita)$_{i-j}$	Difference in Ln(GDP per capita) between acquirer country i and target country j. Refer to Panel B for definition of Ln(GDP per capita).
Business environment$_{i-j}$	Difference in investment profile between acquirer country i and target country j. Refer to Panel B for definition of business environment (ICRG).
Quality of institutions$_{i-j}$	Difference in quality of institutions between acquirer country i and target country j. Refer to Panel B for definition of quality of institutions (ICRG).
Trade-to-GDP$_{i-j}$	Difference in Trade-to-GDP between acquirer country i and target country j. Refer to Panel B for definition of Trade-to-GDP.
Same region	Dummy variable that equals one when the target and acquirer countries are from the same region, and zero otherwise (World Factbook).
Same language	Dummy variable that equals one when the target and acquirer countries share the same official language, and zero otherwise (World Factbook).
Same religion	Dummy variable that equals one when the target and acquirer countries' primary religion (Protestant, Catholic, Muslim, Buddhist, or others) are the same (Stulz and Williamson, 2003).
Bureaucracy Quality$_{i-j}$	Bureaucracy Quality$_{i-j}$ is a categorical variable corresponding to the difference in bureaucracy quality between acquirer country i and target country j. It equals one if bureaucracy quality of acquirer country is better than target country, minus 1 if the bureaucracy quality of acquirer country is worse than target country, and zero if the bureaucracy quality of acquirer country is as good as that of the target country. Bureaucracy quality is obtained from the ICRG Political Risk (ICRGP) subcomponent, which measures government attitude toward inward investment, scored on a scale from zero (very high risk) to 4 (very low risk).
Shareholder protection$_{i-j}$	Difference in rule of law and anti-director rights between acquirer country i and target country j. Equals one if shareholder protection of acquirer country is better than target country, minus 1 if shareholder protection of acquirer country is worse than target country, and zero if shareholder protection of acquirer country is as good as that of the target country (La Porta *et al.*, 1998).

(continued)

Table AI. Continued

Variable	Description and data sources
Takeover friendly index$_{i-j}$	A categorical variable corresponding to the difference in takeover-friendly law between acquirer country i and target country j. Equals one if the bureaucracy quality of acquirer country is better than target country, minus one if the bureaucracy quality of acquirer country is worse than target country, and zero if bureaucracy quality of the acquirer country is as good as that of the target country.
Pair with FTA	Dummy variable that equals one when target and acquirer countries have a FTA, and zero otherwise (WTO).
Pair without FTA	Dummy variable that equals one when target and acquirer countries do not have a FTA, and zero otherwise (WTO).
Pair with Ally	Dummy variable that equals one when target and acquirer countries have military alliances, and zero otherwise (COW).
Pair without Ally	Dummy variable that equals one when target and acquirer countries do not have military alliances, and zero otherwise (COW).
	Panel D: Deal-level variables
Cross-border acquisition	Dummy variable that equals one when the acquisition is a cross-border deal, and zero otherwise (SDC).
CAR(−3, +3)	CAR(−3, +3) is CARs of listed acquirers during the event window (−3, +3), respectively, where event day 0 is the deal announcement date (SDC and DataStream).
Related deal	Dummy variable that equals 1 if the deal includes a related transaction, and zero otherwise. A deal is defined as “related” when two or more deals exist that cause or effect each other, including, but not limited to, competing bids, divestitures, or seeking buyers connected with a merger, defensive transactions, stakes before acquisitions, and two or more deals having a combined total value (SDC).
Same industry	Dummy variable that equals 1 when the acquirer and target are from the same two-digit SIC industries (SDC).
Ln(deal value)	Natural logarithm of the deal’s total value (SDC).
Target public firm	Dummy variable that equals one if target firm is a public firm, and zero otherwise (SDC).
	Other variables
Annual change of VARIABLE	Annual change of corresponding VARIABLE, that is, the value of VARIABLE’s value in year t minus that in year $t-1$.
Lagged D.V.	One-year lagged value of corresponding dependent variable in the regression.

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